

constructed from these bonds would be worthless. Thus, the TABX provided the first observable data indicating that the mezzanine tranches, up to the “A” tranches, and perhaps even the “AA” tranches of an index replicating CDOs had already lost total value. Yet the banks, who were desperately trying to get their MBS inventory off their books, were still issuing similar CDOs at par. The TABX made it impossible for the banks to continue this charade. I don’t recall what precipitated the tsunami, but at the beginning of August, there was a wave of risk reduction, and everyone wanted to own the CDS protection that we held.¹³ When we liquidated in August 2007, we had positions that were marked at \$50,000 on Friday’s close and that we sold for \$4.5 million on Monday.

What other types of trades haven’t we discussed?

We love trades that appear to be approaching limits—trades that are so close to their absolute limit that they have tremendous asymmetry. Some examples are CDS protection on European banks in 2007 for three basis points and CDS on the ABX index for nine basis points. The CDO trade also had the characteristic of being near a loss limit, but was special because of our high conviction for a large profit potential.

Any others?

We also look for trades where the market price level itself implies asymmetry. A good example is the Korean stock market in 2005, a situation in which we did a ton of work and ended up having conviction that the entire market was mispriced.

Sometime in 2003 or 2004, it came to our attention that listed companies in South Korea looked very underpriced based on the fundamentals. Whereas all the other Asian markets that had tanked in 1997 during the currency crisis had subsequently recovered, South Korea continued to languish. It was not clear why this should be the case, especially since it appeared that South Korea had done a better job than any of its neighbors in adopting all the fiscal and market reforms imposed after the crisis. Specifically, South Korea had complied with all the terms of the emergency IMF loan, including austerity measures, and had overhauled securities laws and regulation to a level that was on par with the U.S.